

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MARINE TRANSPORT LOGISTICS, INC., *Complainant*

v.

CMA CGM, S.A., *Respondent*.

DOCKET NO. 22-23

Served: December 18, 2024

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding began on September 7, 2022, when the Federal Maritime Commission (“Commission” or “FMC”) issued a notice of filing of complaint and assignment. On December 7, 2022, the Commission issued a notice of filing of amended complaint and assignment indicating that Marine Transport Logistics, Inc. (“MTL”) had filed an amended complaint against Respondent CMA CGM, SA. (“CMA”). The amended complaint alleges that Respondent violated 46 U.S.C. § 41102(c) by failing to establish, observe, and enforce just reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivery of property.

B. Procedural History

On October 3, 2022, Respondent filed a motion to dismiss. On October 11, 2022, Complainant filed a response to Respondent's motion to dismiss and additionally filed a cross motion to amend. On October 19, 2022, Respondent filed its response to Complainant's motion for leave to file an amended complaint and reply to Complainant's response to Respondent's motion to dismiss. On October 28, 2022, an order denying motion to amend complaint was issued. On November 7, 2022, Complainant filed a motion seeking leave to file a revised amended complaint. On November 14, 2022, Respondent filed its reply to Complainant's motion for leave to amend the complaint. On December 8, 2022, an order was issued granting the revised motion to amend the complaint and denying Respondent's motion to dismiss as moot.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

On December 28, 2022, a joint motion for substitution of Respondents and modification of deadline for answer was filed. On December 29, 2022, an order granting the joint motion was issued. On January 20, 2023, Respondent filed its verified answer to Complainant's amended complaint. On January 31, 2023, a scheduling order was issued, commencing discovery.

On March 9, 2023, Respondent filed a motion for an extension of time and for compliance with French law and the Hague Convention, requesting a 30-day extension to respond to Complainant's document request and a Letter of Request to French authorities under the Hague Evidence Convention. On March 15, 2023, Complainant filed a response to Respondent's motion. On March 16, 2023, Respondent filed a motion for leave to reply, contesting Complainant's response and offering to provide a memorandum from a French law firm explaining French law. On March 28, 2023, an order was issued denying Respondent's motion for letter of request and extension of time, finding that Respondent did not establish that the Hague Evidence Convention procedures are necessary and appropriate in this proceeding.

On April 7, 2023, Respondent filed an appeal pursuant to 46 C.F.R. § 502.221(d) to the March 28, 2023, order. On April 17, 2023, Complainant filed its response to Respondent's interlocutory appeal. On July 7, 2023, an order to file a joint status report describing the status of discovery and the parties' positions on whether a stay of the proceeding is appropriate in light of Respondent's appeal was issued. On July 27, 2023, an order staying the proceeding was issued. On October 30, 2023, the Commission issued an order affirming denial of motion, finding that Respondent "failed to show that the ALJ abused her discretion in rejecting CMA's unprecedented demand that it be permitted to provide no documents in response to MTL's discovery requests except through Hague Convention procedures." Order Affirming Denial of Motion at 2.

On October 31, 2023, an order requiring joint status report was issued and lifted the stay of this proceeding. On November 17, 2023, a revised scheduling order and a separate order entering protective order and confidentiality stipulation were issued. On January 23, 2024, an order on Respondent's partial consent motion to extend discovery was issued, granting two of Respondent's discovery deadline changes and holding the request for the indefinite extension of the close of discovery to receive discovery from a non-party in abeyance. On January 31, 2024, an order on motions to compel was issued, requiring both parties to provide additional limited discovery by February 15, 2024. On February 27, 2024, an order on Respondent's motion for reconsideration and second revised scheduling order was issued.

On May 14, 2024, Complainant filed its brief, proposed findings of fact, and appendix. On June 12, 2024, Respondent filed its opposition brief, replies to Complainant's proposed findings of fact, and appendix. On June 27, 2024, Complainant filed its response to Respondent's proposed findings of fact and its reply brief with exhibits. On July 3, 2024, Respondent filed a motion to strike specific portions of Complainant's reply brief because it included new arguments that were not in Complainant's opening brief and requesting in the alternative leave to submit a sur-reply. On July 10, 2024, Complainant filed its response to Respondent's motion to strike. On July 11, 2024, the law firm of Jeffrey/Fenneman Law & Strategy ("JFLS") and individual JFLS attorneys Rebecca Fenneman, Eric Jeffrey, Kaya Massey, and Nicholas Webb filed a Notice of Withdrawal as Counsel for Respondent CMA CGM SA ("CMA") in this

proceeding, stating that CMA has consented in writing to this withdrawal and remains represented in this proceeding by Wiley Grandy, Esq. and Chelsea Crews, Esq. of CMA CGM (America).

By order dated October 1, 2024, this proceeding was reassigned to the undersigned Administrative Law Judge. By order dated October 30, 2024, Respondent's Motion to Strike was granted and the new arguments and evidence (Complainant's Exhibits 55, 56, and 57) regarding lost profits raised for the first time on reply were stricken. On October 31, 2024, MTL filed a Motion for Reconsideration or to Reopen Discovery. On November 8, 2024, CMA filed Respondent's Response to Complainant's Motion for Reconsideration or to Reopen Discovery. On November 12, 2024, MTL's motion for reconsideration or to reopen discovery was denied. Order on Complainant's Motion for Reconsideration or to Reopen Discovery. On November 8, 2024, CMA filed Respondent CMA CGM S.A.'s Motion for Confidential Treatment. On November 19, 2024, the motion for confidential treatment was granted as to service agreements, but otherwise denied. Order on Respondent's Motion for Confidential Treatment.

C. Arguments of the Parties

MTL alleges that CMA violated § 41102(c) of the Shipping Act by failing to establish, observe, and enforce just reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivery of property by failing to: (1) follow shipping instructions; (2) timely advise MTL of any perceived shipping issues leading to increased demurrage charges; (3) respond in a reasonable manner to timely filed disputes, which caused an increase in the demurrage charges; (4) timely process change in destination in a manner that would avoid demurrage/storage/detention charges; (5) provide timely, accurate and complete accounting of demurrage/storage/detention charges; and (6) include accurate aspects of such charges in the service contract as provided by CMA. Amended Complaint ¶42.

MTL's complaint as amended alleges that violations occurred with respect to the shipment of eight containers, including: (1) five that were shipped from New York to Odesa Ukraine, but diverted to Constanta, Romania, after Russia invaded Ukraine, and eventually delivered to Bremerhaven ("Ukraine Shipments"); (2) one bound for Libya that was rolled because it contained a jet ski ("Libya Shipment"); and (3) two others that were rolled due to inadequate or untimely documentation ("Rolled Shipments").

With respect to the Ukraine Shipments, MTL argues that CMA never provided copies of any of the invoices for Constanta and never explained the reason for billing more than one year after charges accrued. Brief of the Complainant. MTL argues that because CMA withheld from its discovery responses three emails exchanged between the parties, it is entitled to a negative inference that the only reason for not loading the containers at Constanta and then not releasing them in Bremerhaven was to improperly assess and collect demurrage charges, and that CMA's true intended purpose was revenue generation rather than promoting the prompt movement of cargo. Reply Brief of the Complainant. MTL argues that because CMA produced responsive documents on the discovery deadline it was prevented from conducting follow up. Reply Brief of the Complainant. MTL argues that the delays in shipment of containers impacted shippers other than MTL that were subjected to additional charges that had not been imposed before the war in

Ukraine. Reply Brief of the Complainant. MTL argues that delays in shipment were intended to increase demurrage, storage, and detention charges and not due to an inability to move the containers. Reply Brief of the Complainant. MTL argues that CMA engaged in similar conduct with respect to the shipments at issue in FMC Proceeding 18-07, in which shipments were alleged to have been subjected to excessive detention and demurrage charges after not being delivered to their destination for six months. Brief of the Complainant.

With respect to the Libya Shipment with the jet ski, MTL alleges that CMA failed to produce documents from Malta customs showing that the jet ski was banned. MTL alleges that the container was “in gated” and in the port for seven days before CMA notified MTL of the restriction. MTL alleges that it was unreasonable for CMA to not notify MTL for this many days and that it did so for the purpose of assessing demurrage fees, that CMA placed the container on hold subjecting it to additional charges, that CMA did not advise MTL that charges would continue while the dispute was pending, and that CMA did not apply the contracted free period to the demurrage invoice. Amended Complaint ¶¶ 31-33.

With respect to the two Rolled Shipments, MTL alleges that demurrage and detention charges were assessed despite the fact that MTL provided evidence that it submitted all required documentation timely pursuant to CMA’s instructions. MTL alleges that CMA failed to advise MTL of the change in the deadline for submission and that this practice resulted in a rollover subjecting MTL to additional charges. Amended Complaint ¶ 34. MTL argues that CMA failed to communicate changes in documentation deadlines, and delayed cancelling charges despite being presented with proof that the containers should not be rolled. Reply Brief of the Complainant.

MTL argues that it lost potential business, lost two customers, and suffered damage to reputation due to CMA’s violations. Reply Brief of the Complainant. MTL argues that lay testimony is sufficient to establish the lost profits underlying its damages claim. Reply Brief of the Complainant.

CMA argues that MTL has failed to identify any unreasonable practice contemplated by § 41102(c) and has failed to demonstrate a practice connected with receiving, handling, storing, or delivering property that occurred on a normal, customary, and continuous basis with respect to the shipments at issue. CMA argues that neither MTL’s amended complaint nor briefs tie any particular violation alleged to any of the 8 shipments at issue. CMA argues that MTL’s allegations are insufficient to sustain a cause of action. CMA argues that MTL’s allegations are fatally vague and lack specificity as to how CMA failed to respond in a reasonable manner, that is whether it was unreasonable by time, content, or consequences. CMA argues that MTL’s allegation that it failed to include accurate aspects of such charges in the service contract is fatally vague. CMA argues that MTL has improperly combined disparate types of alleged unreasonable behavior in an attempt to show a practice. CMA argues that discrete or occasional actions by regulated entities do not reflect a practice or regulation that would constitute a violation of § 41102(c). Additionally, CMA argues that MTL failed to meet its burden to prove an actual injury, forfeited its claim to reparations when it failed to comply with the order directing it to produce financial information about its finances, and offered an affidavit to establish actual injury that is not competent evidence. With respect to the Ukraine Shipments,

CMA argues that the Russian invasion delayed normal business operations due to the sorting and processing of change of destination and change of consignee requests, and rerouting to new destinations at a time of confusion, conflict, and danger in the Black Sea. In addition, CMA argues that once the Ukraine Shipments arrived in Bremerhaven, the consignee sent in letters of renouncement stating that MTL had placed it as consignee without its consent. CMA contends that it waived all charges when the consignee indicated it would pick up the containers if the charges were waived, and that MTL paid none of the charges as a result. With respect to the Libya Shipment, CMA argues that the shipment was rolled because it contained a jet ski that was not permitted per Malta customs, that MTL incurred additional charges after free time expired, and that the container was transported once MTL removed the jet ski. With respect to the Rolled Shipments, CMA argues that MTL alleges Shipping Act violations due to its confusion about whether documents had been timely presented. CMA also argues that MTL has not produced competent evidence of injury. Respondent's Opposition Brief.

D. Evidence

Under the Administrative Procedure Act, an administrative law judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence." 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 98-102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact and conclusions of law, and replies thereto filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations in the complaint or the defenses thereto. Administrative adjudicators are "not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are 'material.'" *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent that individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

II. FINDINGS OF FACT²

A. Background

1. CMA CGM, S.A. ("CMA") is a vessel-operating common carrier ("VOCC") as defined by 46 U.S.C. § 40102(7). Answer ¶ 3.

² Complainant's exhibits are designated "CX" followed by the exhibit number and Bates Stamp number or page number when no Bates Stamp number is available. Respondent's exhibits are designated "RX" followed by the exhibit number and Bates Stamp number or page number when no Bates Stamp number is available. Respondent's Proposed Findings of Fact are designated "RPFF" followed by the paragraph number. Deposition references are to page numbers with line numbers following the colon. References to the Findings of Fact within the body of this decision are designated "F of F" followed by paragraph number.

2. CMA is privately owned and organized under the laws of France with its principal place of business at 4 Quai d'Arenc, 13215 Marseilles Cedex 02, France. Answer ¶ 3.
3. CMA's agent in the United States is CMA CGM (America) LLC ("CCA") with offices at 1 Meadowlands Plaza, Suite 201, East Rutherford, NJ 07073 and 1 CMA CGM Way, Norfolk, VA 23502. Answer ¶ 3.
4. CMA provides ocean transportation of property between the United States and foreign ports. Answer ¶ 3.
5. Marine Transport Logistics, Inc. ("MTL") is a corporation organized under the laws of the state of New York, with a place of business at 63 New Hook Road, Bayonne, NJ 07002, a place of business at 172 Baekeland Avenue, Middlesex, NJ 08846, and a place of business at 300 West Service Road, Staten Island, NY 10314. RX1 (Privalova Deposition) at 21:17-19; RX2 (Solovyeva Deposition) at 17:9-18.21.
6. MTL is principally owned by Alla Solovyeva. RX2 (Solovyeva Deposition) at 16:15-19.
7. Julia Privalova has been employed as the logistics manager for MTL since 2004. RX1 (Privalova Deposition) at 13:11-14:4.
8. MTL is a non-vessel operating common carrier ("NVOCC"), freight forwarder, and ocean transportation intermediary as defined by 46 U.S.C. § 40102(17), (19), and (20). RX1 (Privalova Deposition) at 21:1-2, 30:1-6; RX2 (Solovyeva Deposition) at 69:19-21.
9. MTL has one overseas office, located in Odesa, Ukraine and established in 2018. RX1 (Privalova Deposition) at 23:1-6.
10. MTL's primary business is shipping used automobile exports from the United States. RX1 (Privalova Deposition) at 23:7-11.
11. Until February 2022, MTL acted as an NVOCC and freight forwarder of U.S. export cargo shipped by ocean and destined for, inter alia, Ukrainian and Russian ports, including the Port of Odesa. RX1 (Privalova Deposition) at 24:6-20.
12. CMA has transported MTL's cargo for years pursuant to a series of service contracts filed at the Federal Maritime Commission. RX2 (Solovyeva Deposition) at 69:19-70:4.

B. Ukraine Shipments

13. Between December 28, 2021, and February 17, 2022, MTL booked shipments with CMA bearing bills of lading nos. NAM4996094, NAM4887650, NAM4887651, NAM5020932, and NAM4887632 for transportation from Maher Terminal at the Port of New York to Odesa, Ukraine (the “Ukraine Shipments”), which shipped between December 30, 2021, and February 17, 2022. RX5 (Waybill for NAM4996094); RX6 (Waybill for NAM4887650); RX7 (Waybill for NAM4887651); RX8 (Waybill for NAM5020932); and RX9 (Waybill for NAM4887632).³
14. The containers comprising the Ukraine Shipments include:
 1. NAM4996094, Container No. UETU5251612, aboard the La Traviata, on February 17, 2022. RX5;
 2. NAM4887650, Container No. SEGU6471959, aboard the Dalila, on January 22, 2022. RX6;
 3. NAM4887651, Container No. UESU5180789, aboard the Vienna Express, on January 31, 2022. RX7;
 4. NAM5020932, Container No. TRLU7542206, aboard the La Traviata, on February 13, 2022. RX8; and
 5. NAM4887632, Container No. TGBU5073710, aboard the Chicago Express, on December 28, 2021. RX9.
15. The contracts of carriage applicable to each of the Ukraine Shipments included: (1) the applicable CMA tariff provisions. RX15 (CMA Tariff Publication); (2) CMA’s standard bill of lading terms and conditions. RX16 (CMA Bill of Lading); and (3) a service contract between CMA and MTL. RX2 (Solovyeva Deposition) at 69:19-70:4.
16. CIS Development Foundation, Inc. (“CIS”) is a 501(c)(3) non-profit organization with a principal place of business at 77 Mill Town Road, Suite A2, East Brunswick, New Jersey, 08816. RX4 (Bondareva Deposition) at 11:5-9.
17. CIS’s principal activities are sending humanitarian assistance to recipients located in Tajikistan, Ukraine, Estonia, Latvia, and Moldova. RX4 (Bondareva Deposition) at 11:21-12.2, 13:19-21.
18. Maria Bondareva is the president of CIS and is responsible for decisions as to where, when, and how to send cargo overseas from the US. CX5 (Bondareva Deposition) at 11:5-20.

³ All references to NAM4996094, NAM4887650, NAM4887651, NAM5020932, and NAM4887632 in this decision are to bill of lading numbers.

19. CIS hired MTL to deliver the five containers comprising the Ukraine Shipments from New York to Odesa in early 2022, with either Kodryanka or FavoritPlus as consignees. CX5 (Bondareva Deposition) at 14:22 to 15:11.
20. MTL charged CIS \$11,525.00 for shipping the five Ukraine Shipments. RX1 (Privalova Deposition) at 79:2-12; RX2 (Solovyeva Deposition) at 208:22-209:3; CX27A (MTL's transaction history with Kondryanka).
21. On February 24, 2022, Russia invaded Ukraine. RX1 (Privalova Deposition) at 24:11-12; Department of Defense Office of Inspector General at DoDig.mil>Ukraine.⁴
22. On February 24, 2022, the International Maritime Organization, and the North Atlantic Treaty Organization issued warnings to vessels in the Black Sea. RX11 (International Maritime Organization Communication from the Government of Ukraine).
23. On February 25, 2022, the Government of Ukraine closed all Ukrainian ports for the duration of martial law. On February 26, 2024, the Embassy of Ukraine requested that this information be urgently circulated among International Maritime Organization (IMO) Member States, international organizations that have concluded agreements of cooperation with the IMO, and nongovernmental organizations in consultative status with the IMO. RX12 (IMO communication from the Embassy of Ukraine).
24. The Russian invasion of Ukraine caused disruptions to global trade. Respondent's Proposed Findings of Fact at RPFF26; Complainant's Response to CMA's Proposed Findings of Fact at RPFF26; RX12 (IMO communication from the Embassy of Ukraine).
25. The Port of Odesa closed in February of 2022. CX5 (Bondareva Deposition) at 17:1-2; RX13 (CMA Black Sea and Ukraine update).
26. Andre Ristic is the key account manager for CMA CGM America. RX10 (Ristic Deposition) at 3:22-4:8.
27. Constanta, Romania was a force majeure port that was used after the Russian Invasion of Ukraine. RX10 (Ristic Deposition) at 20:6-7.
28. On February 24, 2022, when Russia invaded Ukraine and it was announced that the Port of Odesa would be closed, CMA published a public notice to its customers stating:

⁴ Pursuant to 46 C.F.R. § 502.226, Official Notice is taken of the fact that Russia invaded Ukraine on February 24, 2022.

The CMA CGM Group has been closely monitoring the situation in Ukraine and the Black Sea region. Over the past several days, we have taken all necessary measures to protect our employees and ensure as much as possible the continuity of the supply chain. The safety of our employees and their families in Ukraine is our main focus. We are thankful to report that at the moment all of them are safe. As part of our business continuity plan, they will be working from home until further notice. Our security team will be monitoring developments 24/7 to ensure constant contact with them. In the interest of safety, the Group has decided to suspend all vessel calls to Ukraine as of today and until further notice.

RX13 (CMA Black Sea and Ukraine update).

29. The advisory also informed the shipping public that “floating cargo to Ukraine will be redirected to the ports of Constanza (Romania), Tripoli (Lebanon) or Piraeus (Greece).” RX13 (CMA Black Sea and Ukraine update).
30. MTL learned of the closure of the Port of Odesa by email notices from ocean carriers. RX2 (Solovyeva Deposition) at 51:1-4.
31. When it was announced that the Port of Odesa would be closed as of February 26, 2024, all CMA ships bound for Odesa were diverted to other destinations. RX10 (Ristic Deposition) at 20:7-8.
32. The Ukraine Shipments were diverted to the Port of Constanta, Romania. RX10 (Ristic Deposition) at 20:7-8.
33. With respect to diversions, Article 10 of the Bill of Lading provides:

10. MATTERS AFFECTING PERFORMANCE

If at any time the Carriage is or likely to be affected by any hindrance, risk, delay, difficulty or disadvantage of any kind (other than the inability of the Goods safely or properly to be carried or carried further which is provided for in Clause 24 infra) and howsoever arising (even though the circumstances giving rise to such hindrance, risk, delay, difficulty or disadvantage existed at the time this contract was entered into or the Goods were received for Carriage), the Carrier (whether or not the Carriage is commenced) may, without prior notice to the Merchant and at the sole discretion of the Carrier, either:

(a) carry the Goods to the contracted Port of Discharge or Place of Delivery, whichever is applicable, either by the intended or the alternative route to that indicated in this Bill of Lading or that which

is usual for Goods consigned to that Port of Discharge or Place of Delivery. If the Carrier elects to invoke the terms of this Clause 10 (a) hereof, he shall be entitled to charge such additional Freight, including extra war risk charge as the Carrier may determine, or

(b) suspend the Carriage of the Goods and store them ashore or afloat upon the Terms and Conditions of this Bill of Lading and endeavor to forward them as soon as possible, but the Carrier makes no representations as to the maximum period of suspension. If the Carrier elects to invoke the Terms and Conditions of this Clause 10 (b) then, he shall be entitled to charge such additional Freight as the Carrier may determine, or

(c) abandon the Carriage of the Goods and place the Goods at the Merchant's disposal at any place or port which the Carrier may deem safe and convenient, whereupon the responsibility of the Carrier in respect of such Goods shall cease. The Carrier shall nevertheless be entitled to full Freight on the Goods received for Carriage, and the Merchant shall pay any additional costs of the Carriage to, and delivery and storage at, such place or port.

If the Carrier elects to use an alternative route under Clause 10(a) or to suspend the Carriage under Clause 10(b) this shall not prejudice its right subsequently to abandon the Carriage under Clause 10(c).

RX16 (CMA Bill of Lading).

34. With respect to diversions, the CMA Tariff Rule provides in pertinent part:

B) Diversion requests must be received no less than two working days prior to the vessel's arrival at the interchange port. The Carrier will endeavor to satisfy the request but will not be responsible if the diversion cannot be effected. Customs authorities/local regulations at some destinations may require that diversions be effected earlier than two working days. In such instances it is the Shipper's responsibility to comply with such regulations. Fines resulting from failure to comply will be for the account of the cargo.

RX15 (CMA Tariff Publication).

35. In the event of an agreement to amend the place of delivery, Article 11(6) of the Bill of Lading governs the continued application of its terms, and provides in pertinent part:

11. NOTIFICATION AND DELIVERY

(6) In the event the Carrier agrees, at the request of the Merchant, to amend the Place of Delivery stated herein, the Terms and Conditions of this Bill of Lading shall continue to apply, only to the extent provided by the Applicable Tariff, until the Goods are delivered by the Carrier to the Merchant at the amended Place of Delivery. If the Applicable Tariff does not explicitly provide for the continued application of the Terms and Conditions of the Bill of Lading then the Carrier shall act as agent only to the Merchant in arranging for delivery of the Goods to the amended Place of Delivery but shall then be under no liability whatsoever for loss, damage or delay to the Goods, howsoever arising.

RX16 (CMA Bill of Lading).

36. Between March 3 and March 25, 2022, MTL, through Account Manager Julia Privalova, requested a Change of Destination (“COD”) for each of the five Ukraine Shipments, from Odesa to Bremerhaven, “due to the ongoing war in Ukraine.” RX17 (CMA 133) (email from MTL to CMA); RX19 (CMA 188) (email from MTL to CMA); RX1 (Privalova Deposition) at 62:17-64:11; CX1 (CMA 585) (email from MTL to CMA); CX21 (email from MTL to CMA); CX30 (email from MTL to CMA); CX38 (email from MTL to CMA).
37. With respect to NAM4996094, after the first request to CMA for a change of destination to Bremerhaven on March 3, 2022, MTL sent follow up requests on March 9, 2022, and March 11, 2022. (CX21, 22, 23) (emails from MTL to CMA).
38. With respect to NAM4887650, after the first request to CMA for a change of destination to Bremerhaven on March 3, 2022, MTL sent a follow up request on March 11, 2022. (CX30, 31) (emails from MTL to CMA).
39. In general, it was “very rare” for MTL to request a change in destination. RX2 (Solovyova Deposition) at 59:1-9.
40. The Ukraine Shipments stayed in Constanta for several months before eventually being delivered to Bremerhaven as requested by MTL. CX5 (Bondareva Deposition) at 14:22-15:11.
41. Pursuant to CMA’s tariff, the re-routing of cargo from Constanta to other ports required a change of destination request (“COD”) from the shipper. RX15 (CMA 1282-1285) (CMA Tariff Publication).

42. CMA's autoreply email to Ms. Privalova stated, in red capital letters:

*****PLEASE NOTE THE BELOW INFORMATION FOR ALL COD REQUESTS*****

- All COD requests are subject to approval and are not guaranteed.” RX20 (CMA 82) (email from CMA to MTL).
43. In an internal email dated March 15, 2022, related to NAM4887632, CMA stated: “TRADE - The customer has requested a COD to BREMERHAVEN. I [sic] not found rates per 21-1782. I have found routing on AMERIGO service from ROCND - ALIAGA-BEANR-DEBRV. Please advise if any additional charges. AGENTS - Please confirm the deadline (DATE AND TIME) to complete the requested COD.” CX2 (CMA95) (internal CMA email).
44. Because the original consignee of the shipments diverted due to the closure of the port of Odesa may have been located in Ukraine, some shippers also requested a change of consignee (“COC”). CX18, 19 (CMA internal emails). Respondent's Proposed Findings of Fact at RPFF38; Complainant's Response to CMA's Proposed Findings of Fact at RPFF38.
45. On March 25, 2022, Ms. Privalova requested that CMA change the consignee on the bills of lading for the Ukrainian Shipments from the original consignee, Andrey Kodryanka in Odesa, to FavoritPlus (for bill of lading NAM4887632) and Interfracht (for bills of lading NAM4996094, NAM5020932, NAM4887650, and NAM4887651) in Bremerhaven. RX22 (email from CMA to FavoritPlus); RX18 (CMA 146); RX17 (CMA 133) (email from MTL to CMA); RX1 (Privalova Deposition) at 62:17- 64:1; Respondent's Proposed Findings of Fact at RPFF 49; Complainant's Response to CMA's Proposed Findings of Fact at RPFF49.
46. On April 1, 2022, CMA advised MTL that the bill of lading NAM4887632 cargo had already been discharged in Constanta and asked if MTL wanted to pick cargo up there, to which MTL replied on the same date that customer is insisting on Bremerhaven. CX3 (CMA 579) (email from CMA to MTL); CX4 (CMA 577) (email from MTL to CMA).
47. On April 5, 2022, CMA advised MTL that the destination had been revised to Bremerhaven on NAM4887650 and NAM4996094. CX33 (email from CMA to MTL).
48. On April 12, 2022, MTL requested invoices for NAM4887650 and NAM4996094 from CMA. RX17 (email from MTL to CMA).
49. On April 14, 2022, CMA wrote to MTL's client's agent (FavoritPlus) and said

“Dear Customer, POD for NAM4887632 is updated to Constanta. Pls advise when you are going to pick up the cargo. Demurrage and storage are increasing on a daily basis.” (CX6) (email from CMA to FavoritPlus).

50. On April 21, 2022, Julia Privalova from MTL sent the following email to CMA regarding container NAM4887632: “Please help. Container is idling in Constanta port, but we didn’t ask to deliver I [sic] there, we asked to deliver to BREMERHAVEN!!! Why nothing is being done?? Why is my customer being chased and asked to pay for storage/demurrage???? I need this to be resolved today, please.” CX7 (CMA 557-558) (email from MTL to CMA).
51. On May 6, 2022, an internal CMA email concerning NAM4887632, Container No. TGBU5073710 states: “This is to inform that subject shipment is still idling in Constanta port. Pls urgently inform shipper and let him push cnee to pick up the cargo asap as demurrage and storage surcharges are increasing on a daily basis.” CX8 (CMA 70989-70990) (CMA internal email).
52. Pursuant to CMA’s tariff, the requests for a COD or COC were subject to additional charges, including an administrative fee to cover the additional work by CMA to process the diversion and any additional operational costs and charges for the new destination in accordance with the tariff and applicable service contract. RX15 (CMA Tariff Publication).
53. In connection with its COD requests, MTL was advised by email dated May 6, 2022, that it would be responsible for “additional costs, not covered under service contract rate” including “i.e., storage charges, customs fines, etc.” for each of the Ukraine Shipments, and that CMA needed a “clear response stating that the charges are accepted before we can move on the request.” RX17 (CMA 128) (email from MTL to CMA); RX18 (CMA 141-142) (email from CMA to MTL); RX23 (CMA 172-173) (internal CMA email).
54. On June 3, 2022, MTL notified CMA that they forgot to change the consignee on NAM4887650 and urgently requested change to Interfracht. CX35 (email from MTL to CMA).
55. By email dated June 5, 2022, Ms. Privalova replied to the May 5, 2022, email regarding additional costs for COD requests: “Confirmed, please proceed.” RX17 (CMA 122) (email from MTL to CMA); RX18 (CMA 139) (email from MTL to CMA).
56. The credit note for Ukraine shipment NAM4887650 shows that it was discharged at Bremerhaven on June 8, 2022. RX28 (CMA 2152) (credit note for NAM4887650).

57. Ukraine shipments NAM5020932, NAM4887650, NAM4887651, and NAM4996094 arrived in Bremerhaven on the same day on the same vessel. RX29 (CMA 1152-1153) (internal CMA email).
58. An email dated June 10, 2022, from Julia Privalova to the CMA team concerning NAM5020932 states: You forgot to change consignee and notify for the subject booking, please URGENTLY change to: Interfracht Container Overseas Service GmbH Bergiusstr 1. 28816 Stuhr-Brinkum.” CX39 (email from MTL to CMA).
59. By email from Julia Privalova dated June 14, 2022, MTL notified CMA that the consignee had not been changed per her instructions for NAM4996094 but that NAM4887650 was “ok.” CX26 (email from MTL to CMA).
60. On June 30, 2022, CMA advised FavoritPlus by email that a new POD was updated to Bremerhaven on NAM4887632 and asked if FavoritPlus would stay as consignee. CX6 (email from CMA to FavoritPlus).
61. A CMA email to FavoritPlus dated July 5, 2022, concerning NAM4887632 indicated a plan to load the container for shipment to Bremerhaven on July 19, 2002, but stated that it would not be loaded without payer information on the charges incurred in Constanta. CX9 (email from CMA to FavoritPlus).
62. A July 8, 2002, email from Julia Privalova to Alla Soloveva regarding NAM4887651/UESU5180789, NAM4887650/SEGU6471959, NAM5020932/TRLU7542206, and NAM4996094/UETU5251612 states that CMA has ignored requests to change destination and consignee resulting in demurrage/storage charges caused by CMA delays. CX11 (CMA 495-496) (internal MTL email).
63. On July 11, 2022, Ms. Muraya from CMA wrote to FavoritPlus: “We’ll fail to catch Stadt Dresden ETS Jul. 19 without payment confirmation and confirmed CNEE [sic] Please revert with payer and payment location and let us know if FavoritPlus will stay CNEE in Bremerhaven.” (CX12) (email from CMA to FavoritPlus).
64. On July 14, 2022, CMA again requested by email that FavoritPlus advise if it would remain consignee on NAM4887632 and if not to provide a letter of renouncement. CX13 (CMA 961) (email from CMA to FavoritPlus).
65. On July 14, 2022, Maria Bondareva forwarded to Alla Solovyeva the email message she received earlier that day from FavoritPlus in which FavoritPlus forwarded CMA’s inquiry the same date asking whether or not FavoritPlus would remain consignee on NAM4887632. RX22 (CMA 961) (email from CMA to FavoritPlus).

66. On July 18, 2022, an internal CMA email regarding NAM4887632. states that FavoritPlus will submit letter of renouncement and that consignee should be amended to an unnamed entity. CX16 (CMA 1118) (internal CMA email).
67. An internal email dated July 18, 2022, from CMA VIP accounts executive Oksana Muraya states: "Please note since CNEE address hasn't been updated for NAM4887632, container has been cut from loading list and rolled on Ambarli Aug. 07. We'll revert with updated charges of storage asap." CX16 (CMA 1119) (internal CMA email).
68. Following arrival on June 8, 2022, of the Ukraine shipments NAM5020932, NAM4887650, NAM4887651, and NAM4996094 at the port of Bremerhaven, Interfracht, the consignee named by MTL, refused to take delivery. RX24 (CMA 1217-1220) (internal CMA email).
69. In rejecting the containers, Interfracht stated that MTL had designated it as consignee of the four shipments without its approval or confirmation. RX24 (CMA1220) (internal CMA email), RX29 (CMA 1153) (internal CMA email).
70. As of July 15, 2022, MTL was aware of the rejection by Interfracht and was "looking for a solution." RX24 (CMA 1220) (internal CMA email).
71. As of July 21, 2022, Interfracht was continuing to refuse to take delivery of containers NAM5020932, NAM4887650, NAM4887651, and NAM4996094. RX24 (CMA 1217-1220) (internal CMA email).
72. On July 27, 2022, CMA representative Antwaun Majors emailed MTL about the four containers stuck in Bremerhaven, stating: "[T]he consignee sent in letters of renouncement. Can you please check and confirm with them if they are still accepting cargo?" RX30 (CMA 1006) (email from CMA to MTL).
73. On August 2, 2022, CMA's Andre Ristic again asked MTL "Can you please check and confirm with them [Interfracht] if [they] are still accepting cargo?" RX30 (CMA 1004-1005) (email from CMA to MTL).
74. On August 2, 2022, MTL advised CMA that Interfracht would accept the four Ukraine shipment containers if all charges were removed. RX30 (CMA 1003) (email from MTL to CMA).
75. By an internal CMA email dated August 9, 2022, regarding NAM5020932, NAM4887650, NAM4887651, and NAM4996094, CMA stated "Demurrage and Storage need to be cleared for the above BLs due to CCA error in COD and Doc completion. The shipments were diverted due to going to Ukraine, but BL details were not update at time COD as status was not corrected. The final SWB were not released timely once confirm that docs were completed and LFDs were pasted." CX28 (CMA Bates 1145).

76. By email exchanged dated August 9, 2022, Alla Solovyeva complained to MTL that there were no invoices for the containers stuck in Bremerhaven due to unpaid demurrage and storage charges. RX30 (CMA 995-997).
77. According to CMA, the Ukraine Shipments idled at Bremerhaven due to agency error. By email dated August 18, 2022, CMA directed that the charges would be rejected and cargo released. RX35 (internal CMA email); RX28 (CMA credit notes).
78. CMA waived in advance all storage, detention and demurrage charges with respect to each of the five Ukraine Shipments. RX31 (CMA 519) (CMA credit note); RX32 (CMA 520) (CMA credit note); RX33 (CMA 711) (CMA credit note); RX 34 (CMA 95417) RX29 (CMA 1129) (CMA credit note); RX2 (Solovyeva Deposition) at 153:11-14, 166:4-6, 180:18-181:2.
79. MTL was not required to pay detention, demurrage, or storage charges for any of the Ukraine Shipments. RX27 (CMA credit note); RX28 (CMA credit note); RX31 (CMA 519) (CMA credit note); RX32 (CMA 520) (CMA credit note); RX33 (CMA 711) (CMA credit note); RX34 (CMA 95417) (CMA credit note); RX29 (CMA 1129); RX2 (Solovyeva Deposition) at 153:11-14, 166:4-6, 180:18-181:2.
80. On August 10, 2022, Alla Solovyeva complained to CMA that invoices had not been received for NAM5020932, NAM4887650, NAM4887651, and NAM4996094 that were being held in Bremerhaven due to unpaid balance for demurrage and storage charges. CX29 (CMA 967) (email from MTL to CMA).
81. On September 5, 2022, CMA's agent in Germany reported that NAM5020932, NAM4887650, NAM4887651, and NAM4996094 had been picked up by Interfracht (September 3-4), and CMA waived ("rejected" in CMA's LARA system) all demurrage and detention charges that had accrued. RX35 (CMA 1164-1169) (internal CMA email).
82. On September 12, 2022, CMA issued a Credit Note to MTL for basic freight and bunker charges on NAM4996094/UETU5251612 in the amount of \$934.00. RX31 (CMA 519) (CMA credit note).
83. On September 12, 2022, CMA issued a Credit Note to MTL for basic freight and bunker surcharges on NAM4887651/UESU5180789 in the amount of \$934.00. RX32 (CMA 520) (CMA credit note).
84. On September 12, 2022, CMA issued a Credit note to MTL for basic freight and bunker charges on NAM3887632/TGBU5073710 in the amount of \$474.00. RX33 (CMA 711) (CMA credit note).

85. On September 22, 2022, CMA issued a Credit Note to Interfracht on NAM4887650/SEGU6471959 for equipment detention and demurrage import in the amount of EUR 11,940.00. RX28 (CMA 2152) (CMA credit note).
86. On September 22, 2022, CMA issued a Credit Note to Interfracht on NAM5020932/TRLU7542206 for equipment detention and demurrage import in the amount of EUR 12,210.00. RX27 (CMA 2152) (CMA credit note).
87. On February 4, 2024, CMA issued an invoice to MTL for NAM4887632 in the amount of \$1,787.10, consisting of storage in the amount of \$1,679.70 and restowage in the amount of \$107.40. CX10 (CMA 95461) (CMA invoice).
88. On February 5, 2024, CMA issued a Credit Note to MTL for storage at transshipment ports full container and restowage of AM4887632/TGBU5073710 in the amount of \$2,028.00. RX34 (CMA 95417) (CMA credit note).

C. Libya Jet Ski Shipment

89. Booking No. NAM3933751 involved the shipment of Container No. TCNU3475181, which contained used cars and a jet ski to be loaded at the Port of New York, and delivered to El Khoums, Libya, with an intermediate transshipment at Valetta, Malta. RX36 (CMA 516-518) (Bill of Lading for NAM3933751); RX 39 (CMA booking confirmation).
90. The jet ski in the container was a 2004 Yamaha jet ski. RX36 (CMA 516-518) (Bill of Lading for NAM3933751).
91. The CMA booking confirmation for this shipment stated, inter alia: “For Automobile Shipments, if the container is received at the port and fails to meet any customs requirements. . . the booking will be rolled and applicable charges will be assessed.” RX39 (CMA 163) (Bill of Lading for NAM3933751).
92. EU Council Regulation 2017/1325, of July 17, 2017, amended EU Council Regulation 2016/44, and imposed restrictive measures on transportation of cargo from EU member states to Libya, adding motor and inflatable boats to the list of items for which prior authorization was required for transport to Libya. It provides that prior authorization is required for the sale, supply, transfer or export, directly or indirectly of the listed items whether or not originating in the Union, to any person, entity or body in Libya or for use in Libya. RX40 (EU Jet Ski Regulation).
93. Jet skis are included in the boat category under EU Council Regulation 2017/1325. RX1 (Privalova Deposition) at 89:1-13; RX2 (Solovyeva Deposition) at 229:3-11; RX40 (EU Jet Ski Regulation).

94. On June 22, 2020, CMA advised Julia Privalova that jet skis are not allowed to be transported to Libya in an email stating: "Per Malta customs Jet skis fall under the same category" and that cargo will be held. CX40 (EU Jet Ski Regulation); RX 41 (CMA 926-CMA 937) (email from CMA to MTL); RX2 (Solovyeva Deposition) at 224:9-12.
95. On June 26, 2020, MTL sent an email to CMA regarding the NAM3933751 dispute, asserting that the booking was rolled by mistake. RX43 (CMA 953) (email from MTL to CMA).
96. Booking No. NAM3933751 was rolled again in July 2020, because it still contained the jet ski. RX43 (CMA 948-950) (email from CMA to MTL).
97. On August 7, 2020, Alla Solovyeva advised Andre Ristic by email that MTL received the announcement about the Libya import restriction two days after the container was already in port. RX41 (CMA 932) (email from MTL to CMA).
98. On August 7, 2020, CMA's Account Manager for MTL, Andre Ristic, responded via email to Alla Solovyeva regarding the NAM3933751 dispute. He stated that there would be no discount on the roll charges, extra handling, and terminal fees totaling \$2,964.03, explaining: "MTL was twice made aware that jet skis would not be accepted effective immediately on the automatic notice & my notice which were sent before both rolls occurred." RX43 (CMA 948-949) (email from CMA to MTL).
99. On August 7, 2020, Andre Ristic sent an email to Julia Privalova regarding the NAM3933751 dispute, stating: "Understand it was in-gated a week prior to the notification, but that still does not change the fact that EU regulations prohibited this container from moving to Libya." RX41 (CMA 930) (email from CMA to MTL).
100. Mr. Ristic offered at that time to discount MTL's accrued detention and demurrage charges for this shipment but stated that "CMA cannot absorb [extra drayage /unstuffing /re-loading charges] for any customers as this was not a CMA decision to reject this cargo. It was EU mandate." RX43 (CMA 948-949) (email from CMA to MTL).
101. MTL has not shipped any jet skis to Libya since first notification that they are not allowed to be exported. Rather, they only ship used vehicles and forklifts. RX2 (Solovyeva Deposition) at 40:13-41:21.
102. By invoice dated June 23, 2020, MTL billed Almotwasit for Selling and Purchasing the amount of \$2,900 for ocean freight service for the transport of three cars and a jet ski. CX48 (MTL invoice).
103. On July 14, 2020, CMA issued a Credit Note to MTL for basic freight, bunker

surcharges NOS, and change of vessel or destination, including roll over charges on NAM39333751/TCNU3475181 in the amount of \$2,034.00. RX46 (CMA 1398) (CMA credit note).

104. By email dated July 24, 2020, CMA advised Julia Privalova that all costs cannot be waived because it is the shipper's responsibility to comply with EU regulations. CX46 (email from CMA to MTL).
105. The CMA invoice for NAM3933751 dated September 11, 2020, sets forth equipment export demurrage charges for 15 days in the amount of \$6,140. CX44 (CMA invoice).
106. MTL did not receive the announcement regarding customs requirements until two days after the container was already in port. RX41 (CMA 931, 935) (email exchange between MTL and CMA).
107. Booking No. NAM39333751 was rolled and subject to additional charges and fees after MTL was twice made aware after the container was in-gated that jet skis would not be accepted effective immediately. RX41 (CMA 933) (email from CMA to MTL).
108. There is no evidence in the record that MTL paid demurrage charges related to the Libya Shipment.

D. 2021 Rolled Shipment NAM4588370

109. The original document cut off deadline for Booking No. NAM4588370 from New York on CMA CGM Dalia was August 10, 2021. CX51 p. 320 (screen shot of CMA website showing document cut deadline).
110. The document cut deadline was subsequently changed on CMA's website from August 10, 2021, at 20:00 to August 9, 2021, at 20:00. Following the schedule change, CMA's website showed a document cut off deadline of August 9, 2021, at 20:00 and a port cut off deadline of August 10, 2021, at 16:00. CX51 pp. 320-321 (screen shots of CMA website showing document cut deadline).
111. The shipping instruction for Booking No. NAM4588370 shows a customer submission date of August 10, 2021, at 18:35:51. RX37 (CMA 1286-1287) (INTTRA shipping instruction).
112. MTL submitted its documentation on August 10, 2021. CX51 p. 319 (email from MTL to CMA).
113. An email dated August 23, 2021, regarding the NAM4588370 dispute from MTL account manager Olga Kirillova to CMA disputes states: "Dear CMA-CGM team. This container has been rolled due to allegedly missing documentation, [W]hich

both the shipping instructions and validated titles have been submitted before due time. Please also see attached correspondence with your team proving the same. Kindly remove all the roll over and demurrage charges. Thank you!" CX51 p. 325 (email from MTL to CMA).

114. A CMA email to MTL account manager Olga Kirillova dated October 25, 2021, regarding the NAM4588370 dispute states: "The disputed file has been reviewed and rejected. Per our records, the doc cut was on August 9, 2021, at 20:00, however, the documents were not submitted until the following day which makes the Change of Vessel/Destination and the Extra Container Handling fee applicable. If you have any additional questions or concerns, please reach out to your sales team directly." CX51 p. 325 (email from CMA to MTL).
115. An email dated October 25, 2021, regarding the NAM4588370 dispute from MTL account manager Olga Kirillova to Andre Ristic states: "Andre, I need your help in here please. For this booking, with auto cut on 08/10 and documentation cut off 08/10 all the docs were submitted 08/10 before 8:00 PM EST. Your team has rolled this container, obviously by mistake and I do not know where to escalate this further. My upper management insists that I forward this to FMC with you in cc, but before doing so, I am asking you to please look into it one more time and let me know how to proceed. Andre, Auto cut off for the booking was Aug 10th, as the subject says. Documentation cut off, as I've already mentioned, was 08/10. You know, Andre, that in NY there cannot be any documentation deadlines, before auto cut off, And [sic] if vessel is still opened for the cars, then we OK to submit SI on auto cut off day. You just have to pull this out and you will see for yourself that the doc cut was on 08/10/2021 20:00PM." CX51 p. 325 (email from CMA to MTL).
116. An email dated January 7, 2022, regarding the NAM4588370 dispute from MTL account manager Olga Kirillova to Andre Ristic states: "There is no such a thing as documentation cut off 1 day prior to auto cut off! Never, ever. All your booking confirmations show doc cut 1 day prior to port cut, And [sic] you and your Autodesk team very well aware that NJ port cut is always few days later then [sic] auto cut off..." CX51 p. 317 (email from MTL to CMA).
117. By Email dated January 7, 2022, Andre Ristic responded: "As per attached PDF's, you can see CMA provided the updated doc cut for the Dalila (page 3 of each PDF) on 8/9. Our website is updated 3x per day and the first update was at 8:07 am showing the cut for docs was 8/9. This meant MTL had just under 12 hours to submit the SI which is why disputes analyst and management rejected the dispute. There is no FMC rule on a notice being sent to customers about doc changes, CMA updating doc cuts 3x per day is actually very customer friendly and has been welcomed by our customer base." CX51 p. 317 (email from CMA to MTL).

- 118. The record does not contain the booking confirmation for Booking No. NAM4588370.
- 119. The record does not contain an invoice or other documentation showing the amount of charges MTL incurred due to the rolling of Booking No. NAM4588370.

E. 2022 Rolled Shipment

- 120. Booking No. NAM5194626 involved the shipment of used automobiles bound for Riga, Latvia, in March of 2022 that CMA rolled. RX44 (email chain between MTL and CMA).
- 121. By email dated May 17, 2022, regarding Booking No. NAM5194626, MTL advised CMA that its documentation was timely and that the shipment was mistakenly rolled. RX44 (CMA 47602) (MTL email to CMA).
- 122. The CMA invoice for Booking No. NAM5194626 dated May 24, 2022, includes equipment export demurrage charges for 7 days in the total amount of \$3,100. CX54 (CMA invoice).
- 123. On July 26, 2022, CMA issued a Credit Note to Lat Fast Logistics for Booking No. NAM5194626 for equipment detention and demurrage import in the amount of EUR 190.00. RX47 (CMA 2150) (CMA credit note).
- 124. By email dated January 18, 2023, from CMA Disputes to MTL account manager Olga Kirillova regarding Booking No. NAM5194626, CMA stated: "Good Morning, Apologies for the delay in response. Invoice NAEX3962959 has been cancelled as it has been confirmed that the booking was rolled in error. Thank you." RX44 (CMA 47595) (email from CMA to MTL).
- 125. On January 18, 2023, CMA issued a Credit Note to MTL for equipment export demurrage charges on NAM5194626 / FFAU4420241 in the amount of \$3,010.00. RX50 (CMA 2216) (CMA credit note).
- 126. CMA canceled all invoices for charges associated with the rolling. RX44. (CMA 47595) (email chain between MTL and CMA).

F. MTL's Business Losses

127. According to Alla Solovyeva, MTL suffered damages in an unspecified amount related to the four containers stuck in Bremerhaven due to the loss of business from its customer Kodryanka in the amount of \$82,000 per year in addition to potential business from unidentified customers resulting from damage to its reputation, but MTL refused to produce income tax returns showing annual profits for the relevant time frame. RX2 (Solovyeva Deposition) at 239:16-246:3.
128. According to Alla Solovyeva, MTL suffered damages in an unspecified amount related to the Libya jet ski shipment due to the loss of an unspecified amount of business from customer Almotwasit. RX2 (Solovyeva Deposition) at 246:15-248:22.
129. The record does not contain tax returns, profit and loss statements, or expert testimony showing that MTL suffered lost profits as a result of the alleged violations of the Shipping Act by CMA.

G. Other Shipments

130. A company by the name of TMM International wrote to CMA as follows on June 30, 2022, concerning Booking CMAU6207108/Container TCNU2194554: "3 MONTHS AGO WE REQUESTED DESTINATION TO POTI... WHY STILL SITTING AT ROMANIA AND NOT CHANGED TO POTI? CX18 (CMA 66718) (email from TMM to CMA).
131. Concerning the same containers referenced in paragraph 131 above, the original consignee wrote: "Before the war in Ukraine, our company was the CNEE of these containers. The Shipper of these containers made corrections to change the recipient and port of destination, for their immediate redirection. At the moment, these containers are in the port of Constanta and there are no changes and forecasts for their redirection. Previously, we tried to leave these containers in Constanta for import to UA without redirecting to Georgia because they just stand there. But the Shipper of these containers said that according to the information of the CMA company of the American office, in this case we need to pay for demurrage and storage. For us, it is unacceptable (and there is no such possibility for the recipients of the cargo) to pay demurrage, since we are not to blame for the fact that the containers do not go to Georgia, but simply stay in the Port of Constanta." CX19 (CMA 66849-66850) (email from original consignee to CMA).
132. On May 6, 2022, an internal CMA email concerning the same container and containers belonging to other customers states: "This is to inform that subject shipment is still idling in Constanta port. Pls urgently inform shipper and let him push cnee to pick up the cargo asap as demurrage and storage surcharges are increasing on a daily basis." CX8 (CMA 70989-70990) (CMA internal email).

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006) (the Commission was obligated to hear allegations particular to the Shipping Act, even where the complainant has already obtained an arbitration award for related breach of contract claims); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (the Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations).

The Commission has an obligation to address Shipping Act claims, even if the relevant facts may also give rise to other claims between the parties. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024). The Commission has jurisdiction over Shipping Act claims even if a related proceeding is underway. *Id.* Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant. *Id.* While breach of contract claims are resolved in court or as otherwise agreed by the parties, a claim for violation of the Shipping Act may only be resolved by the Commission.

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

B. Relevant Law

1. Demurrage and Detention

a. Section 41102(c)

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

b. Demurrage and Detention Rule

On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

On April 28, 2020, the Commission issued an Interpretive Rule on Demurrage and Detention Under the Shipping Act, effective May 18, 2020, with minor changes from the proposed rule. 85 Fed. Reg. 29638 (May 18, 2020) (“Demurrage and Detention Rule”). “The rule followed years of complaints from U.S. importers, exporters, transportation intermediaries, and drayage truckers that ocean carrier and marine terminal operator demurrage and detention practices unfairly penalized shippers, intermediaries, and truckers for circumstances outside their control.” 85 Fed. Reg. at 29638. The demurrage and detention rule provides “guidance as to what [the Commission] may consider in assessing whether a demurrage or detention practice is unjust or unreasonable” under section 41102(c). 85 Fed. Reg. 29638.

Commission Rule 545.5 provides in pertinent part:

(a) *Purpose.* The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention.

(b) *Applicability and scope.* This rule applies to practices and regulations relating to demurrage and detention for containerized cargo. For purposes of this rule, the terms demurrage and detention encompass any charges, including “per diem,” assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries (“regulated entities”) related to the use of marine terminal space (*e.g.*, land) or shipping containers, not including freight charges.

(c) *Incentive principle—*

(1) *General.* In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

(2) *Particular applications of incentive principle—*

(i) *Cargo availability.* The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.

(ii) *Empty container return.* Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.

(iii) (iii) *Notice of cargo availability.* In assessing the reasonableness of demurrage practices and regulations, the Commission may consider whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval. The Commission may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice.

(iv) *Government inspections.* In assessing the reasonableness of demurrage and detention practices in the context of government inspections, the Commission may consider the extent to which

demurrage and detention are serving their intended purposes and may also consider any extenuating circumstances.

46 C.F.R. § 545.5.

C. Discussion

As set forth above, to establish a violation of § 41102(c), a complainant must demonstrate that: (1) the respondent is a regulated entity; (2) the claimed acts or omissions occurred on a normal, customary, and continuous basis; (3) the practice or regulation is connected with receiving, handling, storing, or delivering property; (4) the practice or regulation is unjust or unreasonable; and (5) the practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4.

1. Regulated Entity

Section 41102(c) governs the activities of common carriers, marine terminal operators, and ocean transportation intermediaries. Respondent CMA is a common carrier. Amended Complaint ¶¶ 2, 3; Answer to Amended Complaint ¶¶ 2, 3. Accordingly, the first element is met.

2. Normal, Customary, and Continuous Practice

With the enactment of the rule codified at 46 C.F.R. § 545.4, the Commission restored its interpretation of Section 41102(d) to its pre-2010 understanding and returned the Commission's focus and priority to the activities of maritime regulated entities that generally affect the broader shipping public, 83 Fed. Reg. at 64,479, including that a party is liable only for acts or omissions occurring on a normal, customary, and continuous basis. *See Crocus Investments, LLC v. FMC*, 2022 WL 3012275, at *1 (D. D.C. 2022).

Prior to 2010, the Commission consistently required that the alleged unreasonable regulation or practice at issue to have been the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business in order to find a violation of § 41102(c). This understanding as to what constitutes “regulations and practice” under the Shipping Act is supported by multiple accepted rules of statutory construction. Final Rule, 83 Fed. Reg at 64479.

An example of the application of this understanding is found in the case of *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 187, 200-201 (Examiner 1964), *aff'd*, 8 F.M.C. 181 (FMC 1964). In that case, Stockton Elevators was a grain elevator that operated terminal facilities that in one instance charged a customer wharfage at less than the tariff rate. Additionally, with respect to five shipments in the spring and fall of 1961, Stockton Elevators charged the same customer the wharfage as set forth in the tariff but subsequently paid the customer an “allowance,” effectively defraying the wharfage. This conduct occurred in several months in the spring and fall of 1961, and all the shipments were transported in different voyages. The Commission not only found that this conduct was not unjust or unreasonable, but it also held that Stockton Elevators had not engaged in a “practice” within the meaning of section 17 of the Shipping Act of 1916, the

predecessor of § 41102(c), stating “The essence of a practice is uniformity. It is something habitually performed and it implies continuity . . . the usual course of conduct.” Rather, the Commission found the six instances constituted an “occasional transaction.” *Id.* at 201.

The Commission’s current understanding of what constitutes regulations and practices is in accord with the prior requirement. In *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International, Inc.*, 2020 WL 5406762, at *5 (FMC 2020), the Commission affirmed the ALJ’s initial decision on remand that complainant had failed to meet its burden of proof to establish a normal, customary, and continuous practice of releasing shipments without the original bill of lading despite finding that practice unreasonable. In making this determination, the ALJ found that releasing three shipments of one shipper to one consignee over two months did not appear to be customary based on the finding that it was not normal because respondent’s employee had been induced to do so.

In order to establish a violation of the Shipping Act, MTL must prove that the specified practice or regulation is unjust or unreasonable. 46 C.F.R. § 545.4(d); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 3 F.M.C. 110, 118-19 (FMC 2021). In *Crocus*, the ALJ explained that the “normal, customary, and continuous” requirement of § 41102(c) requires a showing that the carrier’s unreasonable conduct was representative of the “course of conduct between these parties”, i.e. the “normal and customary arrangement.” The ALJ concluded that two similar actions by respondent were not enough to make out a practice. The Commission affirmed, stating: “Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice.” *Id.* at 117 (citations omitted).

In *Crocus*, the “unreasonable conduct” that formed the basis of complainant’s § 41102(c) claim was a broad allegation that respondent Marine Transport Logistics, complainant in the instant case, conducted its business unreasonably and was generally a bad actor. The Commission rejected this argument, explaining: “Crocus’s approach would result in liability if a regulated entity’s “practice” was behaving unreasonably. That is not how § 545.4 is structured, and Crocus cannot combine disparate types of allegedly unreasonable behavior into a practice for purposes of § 41102(c).” *Id.*

MTL does not allege in its amended complaint or briefs that any of CMA’s regulations or practices occurred on a “normal, customary, and continuous basis.” In its initial brief, however, MTL attempts to address this deficiency by arguing that a dispute as to liability for demurrage or a persistent and continuing shuffling of accounts of importers might constitute a practice, citing *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 420 (Examiner 1962) (admin. final Oct. 18, 1962).

In support of this theory of recovery, MTL’s initial brief describes a series of email communications between the parties regarding the five Ukraine Shipments in which MTL requests changes in destination to Bremerhaven, requests changes in consignee, inquires as to why the containers are idling in Constanta, advises CMA that the requests for consignee have not been honored, and complains that it has not received invoices. The brief also describes a series of email communications between the parties regarding the rolling of the Libya Shipment due to the presence of a jet ski, and MTL advising CMA that the container was in-gated prior to notification that jet skis were included in the customs restriction against boats. The brief states that CMA failed to advise

MTL that demurrage would continue to accrue while the dispute was pending, and that MTL suffered business losses because its client, Almotwasit, stopped working with it as a result. With respect to the rolled shipments, the brief states that the containers were improperly rolled due to documentation deficiencies that did not exist, that CMA produced no documentation as to one of the shipments and admitted ten months after the fact that the other had been rolled in error. Finally, the brief references the amended complaint in another proceeding, FMC Docket No. 18-07, in which it was alleged that CMA sought excessive demurrage fees after not delivering shipments to their final destination for over six months. Brief of the Complainant.

Rather than establishing that CMA's unreasonable practices were normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business, the record supports a finding to the contrary. In this regard, the Ukraine Shipments were diverted from the original destination in Odesa, Ukraine due to Russia's invasion of Ukraine in February of 2022, resulting in the need for both changes of destination and of consignee for all five shipments. MTL admits that the war resulted in disruptions in global trade. Complainant's Response to CMA's Proposed Findings of Fact at RPFF26. MTL also admits that it was "very rare" for MTL to request a change in destination. RX2 (Solovyova Deposition) at 59:1-9. These admissions suggest that the events related to the Ukraine Shipments were not customary and habitual, but rather the result of a unique disruption as a result of war. With respect to the Libya Shipment, there is only one allegation of a shipment that was rolled due to an export violation. Similarly, the Rolled Shipments involve two containers that MTL alleges were rolled for improper documentation despite having complied with all documentation requirements, one of which CMA admitted after the fact was rolled in error.

Although MTL also alleges that other containers were improperly rolled, it offers no competent proof on this point. Rather, MTL relies in part on allegations in the amended complaint filed in FMC 18-07; but these are only allegations – not evidence – and therefore do not support a finding that CMA engaged in unreasonable practices against other shippers. *See A.K.L v. Moreno Valley Unified School District*, 2021 WL 4352362, at *3 (C.D. Cal. 2021) (finding that allegations in a complaint do not constitute evidence). Although MTL also relies on emails showing that other shippers expressed concern to CMA that their containers were idling in Constanta, Romania despite requests for a change in destination, MTL failed to provide sufficient detail regarding the circumstances surrounding the delay of those shipments to show the existence of an unreasonable practice. Reply Brief of the Complainant at 3. In the absence of facts illuminating the circumstances under which any of the other containers were idling in Constanta, the emails alone are not probative of whether or not CMA acted unreasonably to increase demurrage, detention, and storage charges as MTL alleges. Moreover, emails in the record from July of 2022 show that MTL designated a new consignee for four of the Ukraine Shipments who renounced that role because it had not agreed to serve in that capacity and that the containers were idling in Bremerhaven while MTL looked for a solution, F of F 68-73, which supports CMA's argument that delays in transportation of the Ukraine Shipments occurred as a result of the disruption that occurred when the Port of Odesa was closed due to Russia's invasion of Ukraine.⁵

⁵ The undersigned rejects MTL's argument that it was deprived of an opportunity to conduct follow up about other shipper's experiences due to CMA's production of responsive documents on the discovery deadline of April 16, 2024. MTL argues in its reply brief that it was precluded from moving for an extension of the discovery deadline or deadline to file its brief due to Judge Wirth's January 31, 2024, order stating that no further motions may

MTL argues that CMA's collective conduct surrounding the 8 shipments supports a finding that CMA's intent was to improperly increase demurrage, detention, and storage charges using a variety of means, but this type of disparate conduct argument was rejected by the Commission in *Crocus*, 3 F.M.C.2d 110, 119. In *Crocus*, the Commission found that much of the evidence that Crocus relied on in trying to show "normal, customary, and continuous" unreasonable conduct related to other aspects of Marine Transport's purchase and handling of boats, as opposed to the storage-charge-conduct the ALJ determined was unreasonable. *Id.* at 118. It noted that Crocus listed multiple transgressions allegedly committed by Marine Transport ranging from charging for services it failed to provide, falsifying documents, unreasonably withholding cargo, committing conversion, mishandling and failing to account for funds held in escrow, and not following Crocus's instructions, among other things to show that it was Marine Transport's "regular custom and practice to steal, lie, and defraud its clients at each and every step of the shipping process." *Id.* On this record, the Commission found that the ALJ correctly rejected claims unrelated to storage charges as irrelevant to a determination as to whether Crocus had met its burden of proving a normal, customary, and continuous practice. *Id.*

In this proceeding, MTL relies on disparate types of alleged unreasonable conduct to make the same general bad actor argument that was rejected in *Crocus*. The record here consists of unique and isolated events involving CMA's handling of MTL's eight containers rather than a pattern and practice. Accordingly, MTL has failed to sustain its burden of proof on this element.

3. Connected with Receiving, Handling, Storing, or Delivering Property

The disputed charges were imposed as part of invoicing demurrage, detention, and storage charges related to the delivery of MTL's cargo. Thus, the third element is met.

4. Unjust and Unreasonable

The Commission has stated that "[t]he test of reasonableness" for practices is that "the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view." *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, 2014 WL 7328475, at *9 (FMC 2014) (quoting *W. Gulf Mar. Ass'n v. Port of Hous. Auth.*, 21 F.M.C. 244, 248, 18 S.R.R. 783, 790 (FMC 1978), *aff'd without opinion sub nom. W. Gulf Mar. Ass'n. v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979), *cert. denied*, 449 U.S. 822 (1980)).

MTL alleges in its Amended Complaint that CMA failed to comply with § 41102(c) in the following ways:

be filed. Complaint's Reply Brief at 4; Order on Motions to Compel at 9. But MTL also acknowledged in its motion to reconsider the order granting CMA's motion to strike that CMA filed a motion for extension of the discovery deadline after the January 31st order, which was granted. Order on Respondent's Motion for Reconsideration and Second Revised Scheduling Order at 2. As such, MTL's argument that any motion for extension it filed would have been summarily rejected is not supported by the record. Moreover, the relevance of similar unreasonable conduct by CMA against other shippers should have been apparent to MTL from the time the action was filed. As such, it was incumbent on MTL to ask CMA to identify shippers with similar complaints through interrogatories and then to follow up directly with those shippers through depositions or subpoena duces tecum to obtain all relevant information necessary to prove its case.

- A. By failing to timely advise MTL of any perceived shipping issues leading to increased demurrage charges;
- B. By failing to respond in a reasonable manner to timely filed disputes, which caused an increase in the demurrage charges;
- C. By failing to timely process Change in Destination in a manner that would avoid demurrage/storage/detention charges, which would allow for the release of the subject containers;
- D. By failing to provide timely, accurate and complete accounting of demurrage/storage/detention charges; and
- E. By failing to include accurate aspects of such charges in the service contract as provided by CMA.

Amended Complaint ¶ 42.

Although MTL's amended complaint references eight containers, neither the Amended Complaint nor MTL's briefs correlate any of the violations alleged to a particular shipment or demonstrate how the evidence in the record proves the existence of an unreasonable regulation or practice. Rather than explaining its theory of the case and outlining the evidence that supports that theory, MTL argues shotgun style that CMA's failure to promptly respond to MTL's concerns or apprise MTL about various matters, failure to promptly invoice charges, and failure to produce several emails in discovery leads to the inevitable conclusion that CMA acted with an intent to improperly increase demurrage, detention, and storage charges as opposed to promoting the movement of cargo. As noted above, this is the same type of generalized allegation of wrongdoing that the Commission rejected in *Crocus*. The lack of specificity in MTL's filings makes it virtually impossible to determine what particular conduct MTL alleges constitutes an unreasonable practice. This fact notwithstanding, the undersigned will attempt to address MTL's allegations to the extent possible with respect to each shipment category.

The Ukraine Shipments

To the extent that MTL is arguing that CMA acted in an unreasonable manner to delay the five Ukraine Shipments, Commission precedent indicates that mere delay does not constitute a violation of the Shipping Act. In *Yakov Kobel and Victor Berkovich v. Hapag-Lloyd A.G, et al.*, 2012 WL 11914695, at *21 (ALJ 2012), *aff'd*, 2013 WL 9808671, at *19 (FMC 2013), the ALJ found that the seven-month delay in delivery of a container was not alone unreasonable and unjust because mere delay is not a violation of the Shipping Act. In reaching this conclusion, the ALJ cited *Meyan SA v. International Frontier Forwarders*, 30 S.R.R. 1397, 1400 n. 2 (FMC 2007) for the proposition that it unlikely that mere delay in shipping cargo would amount to a violation of section 10(d)(1) of the Shipping Act, 46 U.S.C. § 41102(c), because previous cases have found a Shipping Act violation for prolonged delay only when additional factors are present, such as a pattern of deception. In this case, MTL has not demonstrated that CMA engaged in unreasonable practices. Rather, the record demonstrates that the five containers were

diverted from their original destination due to Russia's invasion of Ukraine on February 24, 2022, that delays were caused in part by the need to change the destination and consignee, that delays were caused in part by CMA's error in processing change requests, that delays occurred in part because MTL did not obtain consent for the new consignee it designated who refused to pick up the containers in July of 2022, and that all containers were picked up by the consignee on September 5, 2024, after CMA waived all demurrage and detention fees. As such, the containers were delivered less than seven months after they were diverted due to Russia's invasion of Ukraine on February 24, 2022. As there is no competent evidence of any additional factors present here beyond mere delay, there is no violation of 46 U.S.C. § 41102(c) with respect to the delay in delivery of the Ukraine Shipments.

To the extent that MTL is arguing that CMA engaged in unreasonable practices by failing to advise MTL of shipping issues, failing to timely respond to disputes, failing to timely process change of destination requests, and failing to provide a timely and accurate accounting of such charges, MTL makes bald assertions of these deficiencies without describing in detail the relevant events and without outlining the evidence that supports its claim. For this reason, MTL failed to establish a sufficient factual predicate to support these allegations. Accordingly, the undersigned finds that MTL has failed to satisfy its burden of proof on these claims.

To the extent that MTL alleges that CMA violated the Shipping Act "by failing to include accurate aspects of such charges in the service contract as provided by CMA," it is unclear what conduct MTL alleges to be unreasonable. Because this allegation is fatally vague, the undersigned finds that MTL has failed to meet its burden of proof to establish an unreasonable practice on this issue.

The Libya Shipment

The record shows that the Libya Shipment that included a jet ski in addition to used automobiles was rolled twice due to the presence of a jet ski in the container that violated customs restrictions and was transported once the jet ski was removed from the container. F of F 89-93, 96-98. The CMA booking confirmation for this shipment stated, inter alia: "For Automobile Shipments, if the container is received at the port and fails to meet any customs requirements. . . the booking will be rolled and applicable charges will be assessed." F of F 91. MTL argues that it learned of the jet ski ban only after the container was in-gated, was not advised that charges would continue to accrue during time when they were being disputed, and alleges that CMA lied about Malta customs prohibiting jet skis under the boat ban because other carriers were shipping jet skis and boats to Libya during the same time frame.

As proof of the fact that jet skis and boats were being shipped to Libya by other carriers, MTL relies on a quote for transport of jets skis, boats, and autos from NY to Al Khums, Libya dated September 18, 2020. As an initial matter, the undersigned finds that a quote to transport jet skis and boats by another carrier is not sufficient to prove that jet skis were not banned from export to Libya because the quote only establishes that a carrier agreed to transport the jet ski but not whether or not it was actually able to do so under applicable export restrictions.

Additionally, MTL witnesses testified at deposition that jet skis were included in the boat category under EU Council Regulation 2017/1325. RX1 (Privalova Deposition at 89:1-13); RX2 (Solovyeva Deposition) at 229:3-11; RX40. As such, the undersigned finds that the record shows that export of jet skis to Libya was banned and that the container was properly rolled for this reason.

Although MTL appears to argue that CMA was required to advise it of the customs restriction before it was in-gated, and therefore the container was improperly rolled and subjected to additional demurrage and detention charges for this reason, MTL offers no evidence to support a finding that CMA had a duty to advise MTL of any customs restrictions. In the absence thereof, the undersigned finds that it is reasonable for a carrier to place the burden of knowing the customs restrictions on the shipper. The undersigned also finds that it is appropriate for charges to accrue during a dispute over alleged customs violations because doing so incentivizes shippers to ensure in advance that there are no customs restrictions, encourages shippers to timely remove banned items, and serves as a financial incentive to promote freight fluidity. Notably, had CMA loaded the jet ski and the entire container been rejected by customs, MTL would have been subjected to additional charges because CMA Tariff Publication provides that “Except as otherwise provided, this tariff does not provide for returned cargo. All returned cargo will be handled as regular shipments, and rates quoted will be those in effect at the time of the return cargo.” RX42 (CMA Tariff Rule 018).

Although MTL argues that CMA did not apply the contracted free period to the demurrage invoice, it offered no evidence concerning the number of free days to which it was entitled or how the amount charged on the invoice differs from the amount that should have been charged had the proper free period been applied. As such, the record does not support a finding that the invoiced charges were overstated.

Accordingly, to the extent that the record shows that CMA’s practice was to roll containers due to customs violations subjecting the shipper to additional demurrage and detention charges, the undersigned finds the practice to be reasonable and MTL has failed to sustain its burden of proof on this issue.

The Rolled Shipments

With respect to the 2021 rolled shipment, CMA admits that it updated its documentation deadlines on its website without additional notice to MTL, asserting that there is no FMC rule requiring it to provide additional notice. F of F 118. In this case, the record shows that CMA changed the documentation deadline on its website for the 2021 rolled shipment from August 10, 2021, to August 9, 2021, approximately 12 hours before the deadline and provided MTL no other notice. F of F 110, 113-117. MTL was unaware of this change, submitted its documentation late on August 10, 2021, on the assumption that it was timely, but its container was rolled as a result of the late filing. F of F 112-117. The undersigned finds that changing the date of documentation deadline 12 hours in advance of the deadline with no other notice to MTL other than the updated website is an unreasonable practice. Logic dictates that direct communication with the shipper to notify them of a last-minute change in schedule is necessary to ensure that the shipper is aware of the new deadline. For this reason, the undersigned finds that MTL has

sustained its burden of proof to establish an unreasonable practice in failing to give sufficient advance notice to the shipper of changes in the documentation deadline.

With respect to the 2022 rolled shipment, MTL did not offer evidence regarding the details of this shipment, but rather merely complains that CMA did not provide a rollover notification and that it was mistakenly rolled. CMA later admitted that the container was rolled in error. There is no evidence that this is anything more than an isolated incident. Moreover, in the absence of MTL providing a sufficient factual predicate to establish the existence of an unreasonable practice, MTL has failed to sustain its burden of proof on this issue.

MTL's Request for a Negative Inference

In its reply brief, MTL seeks the imposition of a negative inference against CMA arising from CMA's failure to produce three emails between CMA and MTL's client (Public Organization Kondryanka) and/or agent (FavoritPlus) in 2022 that CMA admits to not producing in its April 16, 2024, document production. Reply Brief of the Complainant at 1-3. For the reasons set forth below, the imposition of a negative inference is not appropriate.

The three emails MTL argues justify a negative inference are:

1. CMA email to MTL's client's (Public Organization Kodryanka) agent (FavoritPlus) dated April 14, 2022, stating: "Dear Customer, POD for NAM4887632 is updated to Constanta. Pls advise when you are going to pick up the cargo. Demurrage and storage are increasing on a daily basis." CX6 (email from CMA to FavoritPlus).
2. CMA email to MTL's client's agent (FavoritPlus), on July 5, 2022, stating: "We are planning to load container on Stadt Dresden on Jul.19 to Bremerhaven. Please advise if Cnee will be Favorit Plus or to be amended. Thanks to revert with payer and payment location of charges occurred in Constanta, i.e. storage and yard moves since without duly manifested charges container won't be loaded." CX9 (email from CMA to FavoritPlus).
3. CMA email to MTL's client's agent (FavoritPlus) on July 11, 2022, stating: "We'll fail to catch Stadt Dresden ETS Jul. 19 without payment confirmation and confirmed CNEE Please revert with payer and payment location and let us know if Favorit Plus will stay CNEE in Bremerhaven." CX12 (email from CMA to FavoritPlus).

MTL argues that CMA's failure to produce these emails entitles it to a negative inference that the only reason for not loading the containers at Constanta and then not releasing them in Bremerhaven was unpaid demurrage charges that CMA improperly assessed and tried to collect and not the sorting through the huge number of containers, processing the many change of destination and change of consignee requests, and getting containers re-routed as CMA claims. Reply Brief of the Complainant at 2-3.

Similar to Fed. R. Civ. P. 37(b), 46 C.F.R. § 502.150(b), provides for the imposition of discovery sanctions in the current proceeding, and states:

(b) Failure to comply with order compelling disclosures or discovery. If a party or a party's officer or authorized representative fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just. A motion must include a certification that the moving party has conferred in good faith or attempted to confer with the disobedient party in an effort to obtain compliance without the necessity of a motion. An order of the presiding officer may:

(1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims;

(2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or

(3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

In December 2023, CMA and MTL filed cross motions to compel discovery against each other. In the Order on Motions to Compel dated January 31, 2024, Judge Wirth directed the parties to answer discovery and produce documents by February 15, 2024, and stated that the failure to do so may lead to an adverse finding regarding those facts. It also provided that no further motions may be filed. Order at 9.

On February 14, 2024, CMA filed a motion for reconsideration of the order on motions to compel seeking enlargement of time to complete discovery. On February 26, 2024, MTL filed a response. On February 27, 2024, Judge Wirth entered the Order on Respondent's Motion for Reconsideration and Second Revised Scheduling Order. The order, *inter alia*, extended the discovery deadline to April 16, 2024, limited CMA's discovery responses to 2022 complaints concerning U.S. exports that were diverted from one European country to another European country, directed that the responsive discovery be provided as soon as it is available, and provided that no new discovery requests may be served.

The imposition of a negative inference is appropriate where a party intentionally ignores its discovery obligations, and its purpose is to prevent a party from benefitting from the failure to engage in discovery. *Qi Qing Weng v. Hana Japanese Steakhouse, Inc.*, 2020 WL 102313434, at *3 (E.D. Tenn. 2020). The imposition of a negative inference is not appropriate in the absence of willful conduct. *Jackson v. Harvard University*, 900 F.2d 464, 469 (1st Cir. 1990.) Courts are entrusted with broad discretion in imposing discovery sanctions under the federal rules, but the imposition of sanctions must be guided by the concept of proportionality between the offense and the sanction. *See McDowell v. Government of District of Columbia*, 233 F.R.D. 192, 200-

201 (evaluating the imposition of discovery sanctions under Fed. R. Civ. P. 37(b)) (D.D.C. 2006).

In this case, the record does not support a willful disregard by CMA of its obligation to produce responsive documents. As an initial matter, MTL does not identify in its reply brief the document request propounded upon CMA by number or specify what documents it requested. In the absence of these details, it is impossible to determine whether or not CMA was required to produce the three emails identified by MTL as improperly withheld by CMA in its discovery response. Assuming, *arguendo*, that the emails were responsive, the record does not support a finding that CMA intentionally withheld them. In this regard, MTL admits in its reply brief that it provided two of the three emails to CMA in its document production on February 1, 2024, at 8:59 am. Reply Brief of the Complainant at 1-2. It is illogical to conclude, as MTL suggests, that in its April 16, 2024, production CMA intentionally withheld documents from MTL that were already in MTL's possession because they had been served on CMA in MTL's February 1, 2024, production. Moreover, the record shows that CMA produced 20,000 documents to MTL on April 16, 2024, which supports a finding that it made a good faith effort to produce responsive documents. Although MTL alleges that the three withheld emails go to the heart of the Shipping Act violations at issue, the undersigned finds that the emails are merely cumulative of other evidence produced by CMA showing the communications between CMA, MTL, and its agents concerning the five containers diverted to Constanta and the actions taken before they were eventually picked up in Bremerhaven. As such, the imposition of a negative inference is not warranted in this instance.

Proximate Cause of Claimed Loss

In order to prove a claim for reparations, a party must show that it is entitled to a specific reparation, i.e., that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with "reasonable certainty." *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 25 (1991); *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1230 (1990). Speculative damages are not allowed, and there must be reasonable certainty regarding a claim for lost profits. *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG, et al.*, 2023 WL 3969857, at *40 (ALJ June 7, 2023) (*aff'd* 2024 WL 4034610 (FMC August 27, 2024)).

MTL alleges in its amended complaint that it is seeking "actual and consequential damages, including loss of business to MTL, in the amount of \$600,000." Amended Complaint at 9. MTL does not detail the damage it claims to have suffered in its opening brief. Brief of the Complainant. Rather, MTL alleged for the first time in its reply brief that it suffered lost profits as a result of CMA's unreasonable practices, and supplemented the record with exhibits offered to prove the amount of lost profits it suffered, including: Exhibit 55, a transaction report showing the income and expenses for a client MTL claims to have lost (Kodryanka); Exhibit 56, a profit statement from a second client MTL claims to have lost (Almotwasit); and Exhibit 57, a certification that Exhibits 55 and 56 are true and accurate. Because the issue of lost profits was raised for the first time on reply, the arguments regarding lost profits in MTL's reply brief and Exhibits 55, 56, and 57, were stricken from the record by the order granting CMA's motion to strike dated October 30, 2024, and the subsequent order denying MTL's motion for

reconsideration dated November 12, 2024. Order on Respondent's Motion to Strike; Order on Complainant's Motion for Reconsideration or to Reopen Discovery.

With respect to the Ukraine Shipments, the record shows that CMA waived all charges prior to the five containers being picked up in Bremerhaven on September 5, 2022. F of F 79. With respect to the Libya Shipment, the record shows that MTL was invoiced demurrage charges in the amount of \$6,140 for 15 days that were not waived because CMA concluded that it was the shipper's responsibility to comply with EU regulations. F of F 99-100, 104-105. MTL claims the invoice did not account for the contracted free days but does not cite to evidence in the record showing the number of contracted free days to which it was entitled or whether or not the invoiced amount accounted for those free days. MTL also does not allege that it paid any amount of demurrage. With respect to the 2021 Rolled Shipment, there is no evidence in the record of any charges assessed against MTL. With respect to the 2022 Rolled Shipment, the record shows that CMA waived the charges upon a determination that the shipment was rolled in error. F of F 124-126.

With the exception of the allegation in the amended complaint that CMA did not apply the contracted free period to the demurrage invoice for the Libya Shipment, MTL does not assert a claim for any amount of improperly assessed demurrage, detention, and storage charges in its amended complaint or briefs. The record shows that the demurrage fees for six of the other shipments were waived and contains no demurrage information regarding the remaining shipment. With respect to the Libya Shipment, CMA denies in its answer that the contracted free period was not applied to the demurrage invoice. Answer ¶ 33. There is no evidence in the record that any amount of demurrage, detention, and storage charges was paid. Based on this record, the undersigned finds that MTL failed to meet its burden to establish that it was subject to demurrage charges related to any of the shipments at issue.

With respect to MTL's alleged business losses, the record contains limited evidence. When CMA requested lost profit information during discovery in an effort to determine the nature of MTL's alleged injury, MTL refused to produce income tax returns showing annual profits for the relevant time frame. RX2 (Solovyeva Deposition) at 239:16 to 246:3. Pursuant to cross motions to compel filed thereafter by the parties, MTL was ordered to answer Interrogatories 30, 31, 32, and 33 in which CMA sought an explanation of exactly how MTL calculates its injury, despite that MTL argued that it "reserves the right to supplement this response as the full extent of MTL's damages is not yet known. Alla Solovyeva will be produced to testify on this point during the deposition." Order on Motions to Compel at 6. MTL's statement that it planned to address its damages claim during Alla Solovyeva's deposition establishes that MTL understood that Alla Solovyeva's testimony would provide CMA with the information necessary to determine how MTL's alleged injury was calculated.

According to Alla Solovyeva's testimony at deposition, MTL suffered damages related to the four containers stuck in Bremerhaven due to the loss of business from its customer Kodryanka in the amount of \$82,000 per year in addition to potential business from unidentified customers resulting from damage to its reputation. Additionally, Alla Solovyeva testified that MTL suffered damages in an unspecified amount related to the Libya jet ski shipment due to the loss of an unspecified amount of business from customer Almotwasit. RX2 (Solovyeva

Deposition) at 246:15-248:22. MTL does not allege that it suffered any particular damages arising from the Rolled Shipments.

The record does not contain tax returns, profit and loss statements, or expert testimony substantiating MTL's claim that it suffered lost profits as a result of the alleged violations of the Shipping Act by CMA. In its reply brief, MTL cites authority for the proposition that a business owner is competent to testify as to lost profits based on his day to day knowledge of the business. Presumably, MTL is arguing that Alla Solovyeva's limited deposition testimony on the business losses suffered by MTL is sufficient to establish the amount of injury MTL sustained.

Assuming, *arguendo*, that Alla Soloveva is competent to testify regarding MTL's business losses, her testimony alone is insufficient to satisfy MTL's burden of proof on the damages issue because there is no competent evidence in the record that CMA's practices were the proximate cause of the losses MTL claims to have suffered. In this regard, MTL's business loss claim is based on the assertion that MTL lost customers and suffered damage to its reputation due to CMA's unreasonable practices with respect to the eight containers at issue. But other than the self-serving statements of MTL's principals, there is no evidence to corroborate this claim. No customer testified that they no longer did business with MTL due to CMA's unreasonable practices or that MTL had suffered reputational damage during the time frame at issue. Moreover, in the absence of tax returns and annual profit and loss statements there is insufficient data in the record to support a finding that MTL suffered any business loss whatsoever as a result of the eight shipments at issue in this proceeding. Other than the unsupported assertions by MTL's principals that MTL lost customers, lost profits, and suffered reputational harm, the record lacks competent evidence to support MTL's business loss claim. MTL's speculative assertions of business losses uncorroborated by reliable data are insufficient to support its claim for damages. *Rose International, Inc. v. Overseas Moving Network*, 2001 WL 865708, at *23, 80 (F.M.C. June 7, 2001) (rejecting claim for lost profits, lost future growth, and liquidated damages as speculative and unsupported by evidence.)

Additionally, the fact that MTL's lost profit information was not produced by CMA in discovery despite being requested by CMA and ordered to be produced by Judge Wirth in the order on motions to compel discovery dated January 31, 2024, supports a negative inference that the requested tax returns and profit and loss statements would not support MTL's claim of lost profits if they had in fact been produced. A claim as speculative in nature as "loss of business" requires far more supporting evidence than MTL has provided. Based on this record, the undersigned finds that MTL's business loss claim is speculative, and insufficient as a matter of law to support a claim for damages arising from lost profits.

For these reasons, the undersigned finds that MTL failed to meet its burden to establish that it suffered damages as the proximate result of CMA's practices. In the absence of evidence of MTL's payment of demurrage and detention charges, an analysis under 46 C.F.R. § 545.5 is not required.

D. Conclusion

Complainant's claim fails because it has not established that CMA engaged in any unreasonable regulation or practice on a normal, customary, and continuous basis. Moreover, while MTL's failure to demonstrate the above element makes it unnecessary to determine whether the remaining elements under 46 C.F.R. § 545.4 have been demonstrated, with the exception of the 2021 Rolled Shipment it is not clear from the evidence that CMA's conduct was unjust and unreasonable or that the alleged conduct was the proximate cause of the injury alleged by MTL. In the absence of proof that MTL paid demurrage, an analysis under 46 C.F.R. § 545.5 is not required. Accordingly, MTL failed to meet its burden to establish a violation of 46 U.S.C. § 41102(c).

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, and the findings and conclusions set forth above, it is hereby

ORDERED that MTL's Complaint as amended be **DENIED**. It is

FURTHER ORDERED that CMA's motion to file a sur-reply be **DENIED**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.

Mary A. Hervey -S

Digitally signed by Mary A. Hervey
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Date: 2024.12.18 16:22:59 -05'00'

Mary Apostolakos Hervey
Administrative Law Judge